

BLOCK 8

INDIA'S FOREIGN TRADE: POLICY AND CHALLENGES

Unit 18

India's Trade Policy

Unit 19

India's Trade: Trends, Composition and
Challenges

BLOCK INTRODUCTION

This block is on **India's Foreign Trade: Policy and Challenges**. It has two units, i.e., Unit 18 - **India's Trade Policy**, Unit 19 – **India's Trade: Trends, Composition and Challenges**.

Unit 18 starts with the concepts, nature and aims of trade policy and the basic tools of a trade policy. Then it moves on and explains the evolution of the trade policy in India. The evolution has been divided into two time periods i.e., up to 1990 and 1991 to 2014. The foreign trade policy of 2015-20 is being discussed at length separately.

Unit 19 take the theme forward by presenting the pattern, direction and composition of India's foreign trade. The challenges faced by the foreign trade of India are highlighted in the concluding part of the unit.



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UNIT 18 INDIA'S TRADE POLICY *

Structure

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18.0 OBJECTIVES

After studying this Unit, you should be able to:

- Explain the concept of trade policy;
- State various tools of trade policy;
- Describe evolution of trade policy from 1950 to 2022;
- Discuss the impact of trade policy; and
- Identify the need of recalibration of trade policy.

18.1 INTRODUCTION

Business with foreign nations is not a new phenomenon in India. India is used to trade with foreign nations even in BC. During 1947-90, the country pursued socialist pattern of development that has focus on inward-looking strategy of self-reliance and state-led investment in heavy capital-intensive industries. India was

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virtually a closed economy. However, even under controlled regime, country made progress towards industrialization, but inefficiency, bureaucratic process and rampant corruption did not allow high growth rate of GDP. BoP crisis of 1991 propelled systemic change in India's economic policy.

The economic reforms of 1991 changed the direction of trade policy. The country embarked on a series of major trade reforms, progressively cutting tariff- and non-tariff barriers, phasing out quantitative restrictions, and easing limitations on the entry of foreign investment. Having made a good start trade policy has been encountering number of operational problems. In the contemporary world of value chains, where the focus has shifted from nations to firms, the formulation of trade policies has become increasingly complex.

This unit discusses India's trade policy, providing qualitative insights regarding the evolution of trade policy since independence and presents analysis of India's trade policy reform since 1991. There is need for bringing improvement in policy and unit has analysed a road map for moving ahead.

18.2 CONCEPT, NATURE AND AIMS OF TRADE POLICY

Concept: Trade policy is established when a government sets standards and laws regarding international trade. The concept of trade policy relates to a national framework of laws, regulations, decisions, practices, and negotiating positions that governments adopt to ensure that national companies have to regulate the exchange of goods and services with a specific country or bloc of countries. Each nation determines its own standards for trading, including its tariffs, subsidies, and regulations.

Some trade policies are codified into law; others are part of the practices that a nation's bureaucrats and diplomats follow. They are intended to reflect a national philosophy about international trade. Trade policy is also known as commercial policy or international trade policy or foreign trade policy.

The *nature of trade policy* indicates the use of tariffs and other trade barriers, such as restrictions on what goods can be imported or exported, and which countries are allowed to import or export goods to the home country. It encompasses tariffs (or subsidies) as well as non-tariff barriers (quotas, antidumping duties) used by governments that are related to trade among countries. The trade policies affect exchange rates, the availability of goods, and the prices that people pay for them, among many other economic factors.

Aims of trade policy: Trade policies provide a number of economic benefits such as:

- i) importing and exporting,
- ii) foreign retaliation,

- iii) jobs creation,
- iv) emphasis on finding export markets for goods and services produced in the country,
- v) tariffs norms,
- vi) focus on protecting intellectual property,
- vii) setting standards that promote collaboration and reduce trade barriers,
- viii) establishing trade agreements and trade laws,
- ix) encouraging travel and tourism from other countries,
- x) limiting and heavily taxing imports to protect domestic industries.

Many countries establish trade policies between the two extremes, adjusting them as the global economy and domestic political pressures change. A trade agreement occurs when two or more countries agree to the terms of trade, which can include the amount of tariffs and quotas, among other terms.

18.3 BASIC TOOLS OF TRADE POLICY

In practice for implementation of trade policies some tools are needed. These tools are the following:

Tariff measures:

- i) export taxes
- ii) import tariffs

Non-tariff measures: These include quantitative restrictions like:

- i) antidumping measures,
- ii) sanitary phyto sanitary (SPS), and
- iii) technical barriers to trade (TBT) measures

Quantitative restrictions (QRs) are:

- i) quotas
- ii) import restrictions and licensing policy
- iii) export restrictions

India makes extensive use of trade policy instruments such as tariffs, export restrictions, export taxes, anti-dumping duties, and import licensing. Tariffs and quantitative restrictions have been important instruments of trade policy and played a crucial role in providing protection to domestic industry throughout the 1980s and part of 90s. It is also widely held that the protective regime has been responsible for inefficiency in resource-use, which constrained the growth performance of Indian industries.

The trading regime with respect to QRs began to be administered more liberally in the 1980s, but granting of licenses remained discretionary. India has reduced its QRs over time from the complex and extensive regime to one with much lower coverage, with simpler procedures and lower incidence. The QRs today are mainly to meet the “justifiable” objectives, and the regime is simpler and more transparent. This is not unusual or specific to India. Non-tariff measures are the new area of focus where reform is needed in many economies, large and small (Singh, 2017).

India is the second-highest user of *anti-dumping*, second only to the United States. Interestingly, with the reduction of tariffs, the use of anti-dumping has increased. India has been increasing tariffs on a number of items. For most cases, it has been argued that this is being done to manage the huge current account deficit the country runs with China. However, increasing tariffs may directly affect the competitiveness of products which are manufactured using these inputs (Mukherjee, 2022).

SPS and TBT measures are collectively referred to as “standards”. These measures are far more pervasive than any other non-tariff measure, but the trade policy concern relates only to standards which are protectionist (in general, standards are required to implement the objectives such as health and safety, technical compatibility, or environmental concerns).

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Explain the concept of trade policy.

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2) Why is trade policy needed?

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3) Point out the tools of trade policy.

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4) Which kind of tools are utilised more frequently after the advent of WTO?.

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18.4 EVOLUTION OF INDIA'S TRADE POLICY

The Department of Commerce, Government of India is the main agency to over view all the activities relating to foreign trade. It assumes the role of leadership in international trade organizations and devises commodity and country-specific strategy in the medium term and vision for India's foreign trade policy in the long run.

India pursued a closed, import-substitution model of trade and development since 1956. *Prima facie*, India's trade policy and changes therein are driven by the industrialisation strategy, be it import substitution, export promotion or trade liberalisation. However, unlike in many industrialising countries, India's transition has been from import substitution to reforms in trade and investment, but not necessarily to export-led industrialization (Sengupta and Roy, 2018).

During the past three decades, India has experienced an important process of trade reform. What started as protection during "planning for industrialization" in an economy with binding foreign exchange constraint in the 1950s, evolved to a relatively open economy with lesser barriers to trade. The process of change in the trade sector has been sequential over a relatively long period of time, the process being complemented by wide ranging policy shifts in other sectors of the economy (Sengupta and Roy, 2018).

18.4.1 Trade Policy Up To 1990

Right from the independence of 1947 the country adopted licensing system for trade and industrial policy. This is generally characterised as policy of *license permit regime*. Under this regime most imports and investment needed government permission.

Trade policy till the 1970s primarily focused on regulating the utilization of foreign exchange through the use of quantitative restrictions. This was despite attempts to liberalise trade during the mid-1960s, which was short-lived. With balance of payments deterioration during that period, imports were again subject to quantitative restrictions. The trade regime in India was not only distorted with high tariff rates but there continued to be several exemptions as well as additional charges/surcharges at several points in time which continued to complicate the trading environment. These continued to remain as hurdles in the path of trade liberalization.

The prolonged phase of industrial stagnation since the mid-sixties also led to a relook into the role of trade and related policies in the Indian economy through the Alexander Committee, the Hussain Committee and the Narasimham Committee. The policies towards the external sector reforms in India, which followed industrial decontrol, have moved in two directions: the reforms relating to tradeables and exchange rate reforms since the 1980s (Sengupta and Roy, 2018).

In the pre-90 period, India's policy regime for imports was complex and cumbersome. There were different categories of importers, several types of licenses and alternative ways of importing. The 1980s saw changes in the external and the industrial sector in matters pertaining to licensing for scale and technology as well as quantitative restrictions on imports and tariff rates.

Reforms in the trade sector aimed at export promotion by reducing distortions in the economy. Towards reforming trade, quantitative restrictions (QR's) on imports were eliminated and replaced with tariffs, the tariff structure was rationalised, and trade procedures were simplified. After the mid-1980s, the list of capital goods to be imported under the open general license was expanded. Replenishment licenses for import of capital goods were introduced and its scope was enlarged and made more flexible during the period. Import duties on machinery were rationalised since then. Since the mid-eighties, trade policy making was for a longer period (three-year policy to start with) to bring in stability in the regime.

18.4.2 Trade policy 1991-2014

India's attempt at trade liberalization in the 1980s and 1990s resulted in overall changes in the trading regime with substantial lowering of tariffs and near abolition of import control except for a few groups of industries on grounds of health, environment and defense. Additionally, the trade policies of 1997-98 and 2003-4 attempted to further consolidate the trade liberalizations of 1991-92. A directional change took place opening the economy to trade and foreign investment under policy of economic reforms. In this context, it is worth recalling how far India has moved towards liberalized trade policy.

Trade policy reform was an important part of the economic reform initiated in 1991. This became the focus for substantive liberalization from the very beginning of the reform process. Since the macroeconomic policy regime created an economy that was expensive and often inefficient, export promotion was sought to be achieved through micro-level strategies (Khanna, 1997).

Das (n d) has observed that "trade policy reform in the 1990s, given its economy wide impacts, was considered as a key component of the reform process initiated in India. Such reforms were conceived to contribute to improved economic performance in the industrial sector as well as the overall economy". The 1990s brought about comprehensive trade liberalization encompassing abolition of non-

tariff barriers, reduction of peak tariff rates and dispersion along with devaluation of the rupee.

The policy decision was taken that the import of all production inputs, as distinct from finished consumer goods, should be liberalized. Capital goods, intermediates, components, and industrial raw materials were almost entirely thrown open for import at the option of the manufacturer himself or by the trade, for stock and sale. The underlying logic was that if the Indian industry was to come of age and build up competitive production capability, it should be allowed access to the best capital equipment, instrumentation, and raw materials and components without having to knock on the doors of the import-licensing authorities. The broad area of consumer goods was, however, restricted on balance of payments considerations. The elaborate listing of items in different lists such as "Banned," "Negative," "Limited Permissible," and "Canalized" was pruned drastically (Khanna, 1997).

Moreover, since the reform process also involved a paradigm shift from an administrative micro level policy regime to a generalized market driven policy frame, the importance of the exchange rate as a determinant of trade flows would have to increase in the post reform period.

Prior to the launching of reforms, the negative list of exports consisted of five categories, namely, prohibited list, licensable list, ceiling list, canalized list, and the conditional list. Simplifying trade documentation and introduction of electronic trading concepts have been introduced. There has to be long term stability in the policy and transparency, including procedural simplicity. To achieve the stability, a five-year Export-Import Policy was announced for the period 1992-97.

Trade policy reform since then is a journey that transformed not just trade policy framework, but also the evolution of several domestic policies. As a measure of economic reform, India had to take a number of initiatives towards liberalised trade policy and they are as under:

- i) devalued the rupee,
- ii) moved toward a flexible exchange rate,
- iii) current account convertibility,
- iv) dismantled the license raj that had blocked imports and made exports uncompetitive,
- v) unshackling constraints on domestic investment that limited competition.
- vi) opened the economy to foreign investment.

Systemic changes were made in the import-substituting industrialization strategy. Some external forces were helpful in continuing the process of reform. In 1999, the reform of India's trade policy received a boost when a World Trade Organization ruling required India to dismantle remaining quantitative

restrictions on imports of consumer's goods. India's trade policy reform paved the road for a:

- i) Major reduction of average tariffs, tariff peaks. Bulk of the tariff lines (86 per cent) are "non-agriculture", where 90 per cent of the tariff lines are between zero and 10 per cent. India's tariff reduction led to the simple average tariffs being only about one-tenth that of the level in 1990-91.
- ii) Simplification of the tariff and quota regimes. The tariff regime being much simpler than it was in 1991. The tariff regime is considerably less arbitrary today.
- iii) Removal of several import restrictions.

The Agri Export Zones (AEZ) were allowed to be set up, following Exim Policy 2002- 07, to provide comprehensive services package including provision of pre/post-harvest treatment and operations, plant protection, processing, packaging, storage and related research & development etc. These AEZs would provide end-to-end development for export of specific products from a geographically contiguous area, providing a comprehensive package of services. A service provider in AEZs shall have the facility to move or shift the capital goods within the zone provided accurate record of such movements is provided.

Following the Foreign Trade Policy 2010-15, a Grievance Redressal Committee (GRC) was proposed to be set up for quick redressal of trade and industry and to boost export of perishable items via Agricultural and Processed Food Products Export Development Authority (APEDA).

The Market Access Initiative to promote select Indian products and brands in the global market was introduced during 2002-07. The scheme is formulated on focus product-focus market approach to evolve specific strategy for specific market and specific product through market studies/surveys. Assistance would be provided for enhancement of export through accessing new markets or through increasing the share in the existing markets. The scope of this initiative changed to Focus Product (FPS) and Focus Market (FMS) schemes in 2006. While FMS is to offset high freight cost and other externalities to select international markets with a view to enhance India's export competitiveness in these markets.

Following the EXIM policy of March 2000, the Assistance to States for Development of Export Infrastructure and Allied Activities (ASIDE) scheme was introduced in 2002. Trade reforms and related policies for state-level export promotion were aimed at improving supply capability, which were also expected to provide an expanding base of manufacturing production for exports as well as become more efficient.

Singh (2017) has highlighted the fact that "any discussion on trade policy reforms in India is incomplete without a comment on the political economic aspects behind such wide-ranging shifts. Even though trade and related sectoral reforms were unilateral to start with, the multilateral institutions including the

World Bank, the IMF and the WTO have contributed to the liberalization process since the 1990s. India's trade policy making is also dependent on global imperatives".

In a bid to reduce procedural complexities, the Government of India had committed to the WTO Trade Facilitation Agreement (TFA) in 2013, which includes the publication and notification via internet details of import-export and transit procedures, and related fees and charges in accessible form. The Union Budget of 2014-15 announced an Indian Customs Single Window Project to facilitate trade which envisages that traders will electronically submit their customs clearance documents at a single point with customs.

The exchange rate of rupee was overvalued, which priced out country's goods out of world markets, keeping exports at just 5 percent of GDP. The foreign exchange earnings were very low which did not give scope for accumulating foreign exchange reserve. As a result, purchase of new technology and capital goods on world markets were hindered where "ease of doing business" was not a priority.

Harsha Vardhana Singh (2017) has highlighted the fact that "trade policy was considered as a tool of industrial policy within a system of extensive controls which created time-consuming multiple layers of decision-making and delays, and increased costs which affected trade, investment and the efficiency of domestic operations".

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What is the role of Department of Commerce in conduct of foreign trade of India?

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2) Trace the evolution of India's trade policy.

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3) Why were so many controls on foreign trade up to 1990?

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- 4) Describe important measures taken under liberalised trade policy after 1991.

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18.5 FOREIGN TRADE POLICY OF 2015-20

The business-friendly approach of trade policy is aimed at reinforcing the domestic industry and exposing firms in India to international competition. Along with market-friendly approach international trade is one of the priority sectors of the economy. After economic reforms the trade policy is now known as foreign trade policy. The duration of the policy is for five years (2015-2020). The policy is revised every year effective from April 1 to March 31 next year. The policy of 2015 was effective till March 31, 2020. But, due to the prevailing Covid-19 situation, it was extended twice.

Objectives of the policy: The policy provides a framework for increasing exports of goods and services with the *Make in India* vision. The main objectives of the policy are to:

- i) Ensure economic growth and generating employment by providing access to raw materials, components, intermediates inputs, and capital goods required for production.
- ii) Strengthen agriculture, manufacturing and services sector.
- iii) Incentivising exports through stakeholders who strive for achieving international standards of quality.
- iv) Adopting a strategy of promoting both traditional and sunrise sectors including exports of services.
- v) Simplify the process of ease of doing business by reducing transaction costs and time, thereby making Indian exports more globally competitive.
- vi) Increase India's share of global trade from 2.1 percent to 3.5 percent and double exports to \$900 billion by 2020.

Salient features of the policy: The special features of the policy are the following:

- i) Focuses on improving India's exports performance in existing markets/products and exploring new markets/products.
- ii) Consolidates a range of export incentives with different eligibility criteria into two schemes:
- iii) the merchandise exports from India scheme (MEIS), and
- iv) Services exports from India scheme (SEIS).

- v) Offers export incentives under these two schemes in the form of duty credit scrip's, which can be used by exporters to pay import duties. The scrip's are fully transferable, which means that if an exporter does not need them, they can pass them on to another.
- vi) Reduces export obligation from 90 to 75 percent for capital goods sourced from local manufacturers under the Export Promotion Capital Goods Scheme (EPCG). This will facilitate the import of capital goods for producing quality goods and services to enhance India's competitiveness. This scheme allows import of capital goods for pre-production, production and post-production at zero customs duty.
- vii) Allows manufacturers who are "status holders" (entrepreneurs certified by the DGFT as having helped India become a major export player) to self-certify their manufactured goods as originating from India. This helps them qualify for preferential treatment under various bilateral and regional trade agreements.
- viii) Promotes the paperless processing of various DGFT licenses and applications.
- ix) MSMEs clusters will have focused interventions to increase exports. 108 MSMEs clusters have been identified to boost exports.
- x) *Niryat Bandhu* Scheme for mentoring budding exporters through counseling, training, and outreach programs.
- xi) For the optimal utilization of resources, all the stakeholders have to be in close association with, Customs, ECGC, Banks, and concerned Ministries.
- xii) Duty-Free Import Authorisation (DFIA) under which duty-free import of inputs like fuel, oil, energy sources have been allowed for the production of export goods.
- xiii) Round-the-Clock Customs Clearance 24*7 has been made available at 19 seaports and 17 air cargo complexes.
- xiv) Single Window Interface has been launched to facilitate the easier perusal of business. Under this scheme imports are enabled to electronically lodge Integrated Declaration at a single point only with Customs. The necessary permissions are obtained from other regulatory agencies without physically approaching them. Further, a single-window system has been introduced to facilitate the export of perishable agricultural produce to reduce the costs of transportation and handling.
- xv) Outlines extended incentives for SEZs in India.
- xvi) Seeks to integrate the government's Make in India and Digital India initiatives.

- xvii) Effort to resolve complaints and trade disputes between exporters and importers, a new chapter on 'Quality Complaints and Trade Disputes' has been incorporated into the policy.

In sum, the focus of the policy is to support both the manufacturing and services sectors, with a special emphasis on improving the 'ease of doing businesses'. It described the market and product strategy and measures required for trade promotion, infrastructure development and overall enhancement of the trade ecosystem.

Evaluation of policy (2015-2020): Country's inherent economic strengths through trade policies reforms indicate its standing as one of the most sought-after destination for foreign investments in the world. Also, technological, and infrastructural development being carried out across the country augurs well for the trade and economic sector in the years to come.

Procedural simplifications included online submission of most trade-related documents. Digital signature was also accepted. These are significant steps towards easing the formalities attached with conducting business. A few other important steps include the option of communicating via email instead of hard copies of letters, maintaining an Exporter-Importer profile and keeping electronic copies of all documents for future requirements.

On the whole, there have been wide-ranging changes in India's trade policy in a bid to lower trade costs. There are other complementary reforms, especially with regards to FDI and exchange rate. Protectionist policies notwithstanding, trade and related reforms are important for improvements in efficiency in production as well as result in welfare gains (Sengupta and Roy, 2018).

Despite having some very positive points in its favour, the policy carries some criticisms:

- i) In 2019, a WTO dispute settlement panel, acting on USA's complaint, said India's export subsidy provisions violate WTO rules and must be withdrawn. These include tax incentives under the MEIS and SEIS.
- ii) This aspect reinforces the growing view in India that the country needs to move away from subsidies and think of other ways to help its exporters.
- iii) A prevailing belief in India is that free trade agreements (FTAs) haven't worked for it. An important example of this emerged in November 2020 when India decided to not be a part of the Regional Comprehensive Economic Partnership (RCEP), the world's largest FTA. Some economists believe that this decision deprives India a chance to be a major player in exports.
- iv) There is some concern with respect to GST implementation, especially with regards to high and multiple rates of taxation and the credit for input duty and related refund.

- v) The volume and rate of growth in the external sector has brought into focus physical infrastructure constraints relating to power, transport, and communications.
- vi) There has been lack of full understanding of trade policy and its potential benefits, a poorly developed manufacturing sector, unsatisfactory results from regional trade agreements, and constrained relationships, including with its main trading partners.

18.5.1 Services Trade Policy

In an effort to give special support to services exports, a new scheme for encouraging service exports and permitting them the import of capital goods at concessional duty was introduced in the Export-Import Policy update in 1994. Trade in services is a growing area. In the contemporary world with the advent and growth of technology services trade has assumed tremendous importance. Services became significant in overall global trade, with the growth of international supply chains and improvements in communications and transport technology. Several services contribute to improving competitiveness, with large multiplier impact on economic activities.

Policy related to trade in services is nothing but needs complementarity to goods policy by having corresponding regulatory regime. A sound growth of trade in services requires increasing role of regulatory policies. Therefore, policies that improve the performance of services assume major importance. There are number of areas where action is required to improve services related trade policies for India.

18.5.2 Recalibrating India's Foreign Trade Policy

Against the prevailing economic, political, social and external environment, it is the time now for India to look afresh its foreign trade policy. India faces significant challenges in the area of trade policy the global economic slowdown, increasing protectionism, the stalled mega-trade deals that could in time be revived, and perhaps more important, its own domestic preoccupations.

In the context of trade policy, Singh and Kelkar (2022) have suggested that “major initiatives need to be supplemented by an institution that conducts competent research-based trade policy analysis, taking account of its overlap with investment policy and industrial policy. A specialised institution is required, similar to the US International Trade Commission (USITC) or Australia's Productivity Commission (earlier, the Industries Assistance Commission)”.

This is the opportunity to revive and empower India's Tariff Commission (TC) with a new role while including a number of its previous responsibilities. For example, the TC is supposed to identify (Singh and Kelkar, 2022):

- i) policy measures required to improve the competitive position of different goods and services in relation to other markets,
- ii) determinants of tariffs and effective protection,
- iii) implications of offers on tariffs made by India's trade partners in the context of trade negotiations, and
- iv) tariff changes taking place in competing economies,
- v) it should also investigate the interrelationship between, and impact of, tariff, monetary, fiscal and exchange rate policies on domestic prices,
- vi) the transition period required for phasing out tariffs for select industries, and other relevant issues.

They further added that “the TC should address non-tariff measures in foreign markets, learn from the global experience for more effective ways of creating efficiencies, evolve trade policies in the context of digital trade, and the usage of artificial intelligence (AI) tools to alert GoI about problems and opportunities likely to arise in specific export markets, as well as to help with regulatory dialogues with different countries”.

The proposed TC should be an integral part of India's developing trade and investment policy that makes the administration more open and integrated with world markets (Singh and Kelkar, 2022). India needs to remove trade restrictions, reduce tariffs and provide seamless connectivity at the borders to reap the trade benefits.

Various regional and sub-regional free trade agreements (FTAs) are already in place or likely to evolve. To maximize opportunities within this environment, India will have to overcome significant trade policy challenges. Globalization produces both winners and losers. India's trade policy needs to be bold and imaginative. Developments in global trade policy confront Indian policymakers with some hard choices. Trade and foreign policies must by and large be in sync. The world of trade policy requires give and take. India's trade policy framework must be supported by economic reforms that result in an open, competitive, and technologically innovative Indian economy.

The coverage and the content of trade policy has been increasing over time, which implies that the task of trade policy reform will remain a continuing one, rather a finished agenda. The existence of high trade deficit colours the perspective of both the Indian policy makers and the industry when they consider international trade policy issues. In a fast-changing trade scenario across the globe, a number of issues has emerged and they need attention of policy makers.

Policymakers must work on issues to balance both domestic and international concerns, protecting the domestic industry in critical areas with policy interventions such as the production linked incentive (PLI) and simultaneously

aiming for export promotion by participating in the global value chains. The new FTP must provide policy guidance and a direction for future trade agreements. The benefits of FTAs must be strongly communicated to the industry, so that it can prepare itself for future trade deals.

Policies pertaining to export-import operations need to be fine-tuned according to the evolving global trade realities. There is a need for policy rationalisation to level the playing field under each type of manufacturing. India's domestic policy action for promoting export must be based on external requirements.

The upcoming FTP will address the challenges of emerging India through required policy interventions for green industries, start-ups, women entrepreneurs, and services sector exports. To this end, the key deliverables of the policy must be inclusive of the ambitions of an evolving India—fulfilling the growing demands of the country's agricultural, manufacturing, and services sector while also creating a multiplier effect in the economy through enhanced trade (Singh and Singh, 2021).

For India to achieve its policy objectives, the government and industry, particularly the manufacturing sector, must prepare for opportunities and greater engagement in an evolving multilateral trade arena. India's priorities should include taking policy measures to conform to global standards and supporting the WTO to prelaunch multilateral negotiations (Puri, 2017).

India needs to work on a road map that can bring its goods and services into conformity with the highest standards on technical barriers to trade; sanitary/photo sanitary rules; labeling, packaging, customs, clearance, and freight procedures; and the best or next-best environmental and labor regulations. Undertaking action is required on the part of both government and industry and related stakeholders.

Economic reform is always politically difficult, and the country still has a long way to go. More than change in policies India is struggling with change in attitude. This attitudinal change indeed constitutes a major challenge in India's reform agenda (Puri, 2017).

Singh, (2017) has emphasised that “there is a need for adopting trade policies in a coordinated manner, to simplify procedures, make them more transparent, and reduce arbitrariness. In this process, policy makers need to consider trade policy and domestic policy in an integrated manner, keeping in mind the continuing evolution of trade policy, emergence of new market conditions, and the growth of both formal and informal mechanisms which determine the opportunities and constraints in the global markets. A new approach, new institutional mechanisms and far-reaching integrated initiatives are thus needed for sustaining the momentum of growth”.

18.5.3 Impact of trade policy reforms

There has been considerable improvement in foreign trade (both exports and imports), balance of payment situation, foreign investment, inwards remittances, exchange rate flexibility and foreign exchange reserves. All these resulted in improved economic efficiency, giving consumers and businesses a wider choice of final goods and intermediate inputs to purchase. This, in turn, contributed to an acceleration of economic growth and reduction in poverty.

A noteworthy feature of trade policy reform is the continuation of policy by every Government that came to power, both in the conventional areas of trade policy, as well as in the new areas of trade policy that have emerged over the last three decades. The process of reform is still not complete and there is scope to further improve the situation. This possibility becomes even more tangible and feasible when one considers the fact that there is a significant gap between the announced tariffs and the actual applied tariffs. The real effective exchange rate shows that despite the large fall in the nominal effective exchange rate, the competitive situation for India has not changed much (Singh, 2017).

It is important to note that the pace of reform has not been uniform. At times, the reform process became disquietingly slow because of various constraints. Many structural factors like geography and institutions affect long term economic development, but it is worthwhile to remember how farsighted political leadership and good economic policies can significantly influence the fate of nations. India is not alone in the world in finding these in short supply.

One important aspect of trade policy reforms in India is the pace of the reforms differed significantly across capital goods, intermediate goods and consumer goods. The reduction in protection was much more drastic and faster for capital and intermediate goods. In contrast, the consumer goods sector remained protected for much of the 1990s. Trade policy reforms have significant positive impact on productivity yardstick of manufacturing performance.

To liberalize trade, the industrial policy package involved, inter alia, the dismantling of the import licensing systems on virtually all intermediate inputs and capital goods; the lowering of tariffs by capping peak tariff rates and by rationalizing the tariff structure by reducing the number of bands; the devaluation of India's national currency—the rupee—against the dollar, and the introduction of a dual exchange rate; the gradual phasing out of heavy government intervention in the key sectors of insurance, banking, telecommunications, and infrastructure; and the piecemeal opening up of the services sector to private domestic and, increasingly, foreign investment (Alessandrini et al, 2009).

The effects of the tariff reductions on the introduction of new imported products and varieties are large and result in significant welfare gains for the economy, as measured by the decline in the exact price index. Moreover, the tariff reductions also led to the introduction of new domestic products. The intuition behind these

results is straightforward: Indian businesses and policy makers had complained for years that restrictions on the imports of important inputs held back domestic production and lowered the quality of the domestically produced products. The trade liberalization relaxed these constraints. The Indian trade liberalization resulted in the import of new products and varieties that were important.

18.6 FOREIGN TRADE POLICY 2023

The Foreign Trade Policy (FTP) 2015-20 along with the initiatives of current government such as “Make in India”, “Digital India” and “Skills India” to create an “Export Promotion Mission”, promoted the diversification of India’s exports basket by helping various sectors of the Indian economy to gain global competitiveness. FTP 2015-20 which was to end in 2020 extended due to COVID pandemic and volatile geopolitical scenario till March 2023. Policy changes were being undertaken since 2015 even without announcement of a new FTP responding dynamically to the emerging situations. The Foreign Trade Policy 2023 provided the policy continuity.

Foreign Trade Policy (2023) is based on these 4 pillars:

- i) Incentive to Remission,
- ii) Export promotion through collaboration - Exporters, States, Districts, Indian Missions,
- iii) Ease of doing business, reduction in transaction cost and e-initiatives and
- iv) Emerging Areas – E-Commerce Developing Districts as Export Hubs and streamlining SCOMET (special Chemicals, Organisms, Materials, Equipment, and Technologies) policy.

The FTP 2023 aims at process re-engineering and automation to facilitate ease of doing business for exporters. It also focuses on emerging areas like dual use high end technology items under SCOMET, facilitating e-commerce export, collaborating with States and Districts for export promotion. FTP 2023 is introducing a one-time Amnesty Scheme for exporters to close the old pending authorizations and start afresh.

The FTP 2023 encourages recognition of new towns through “Towns of Export Excellence Scheme” and exporters through “Status Holder Scheme”. It is facilitating exports by streamlining the popular Advance Authorization and EPCG schemes and enabling merchanting trade from India. Reduction in fee structures and IT-based schemes will make it easier for MSMEs and others to access export benefits. FTP 2023 outlines the intent and roadmap for establishing e-commerce hubs and related elements such as payment reconciliation, book-keeping, returns policy, and export entitlements.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Point out the main features of India's foreign trade policy 2015-20.

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2) Do you think there is need for change in 2015-20 policy?

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3) In what ways foreign trade policy can be re-shaped?

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4) Should there be separate policy for services trade?

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5) List the focus areas of foreign trade policy 2023?

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18.7 LET US SUM UP

In this unit, we discussed about India's Foreign Trade policies over the years. Trade policy refers to a nation's formal set of practices, laws, regulations, and agreements that govern international trade practices, or imports and exports to foreign countries. Trade policies aim to strengthen the domestic economy. Some nations want to encourage more trade and pursue open trade policies with certain other nations, while others want to restrict trade and set policies that protect domestic industries from competition. Trade policies can have a number of benefits, including economic growth or lower costs of goods.

Trade policies can include regulations, tariffs, and quotas. More than three decades ago, India was a country with very high tariffs, multiple and complex systems of control on both imports and exports, and exchange rate controls that had created an unhealthy economic situation. Permits were not the only barrier to imports. There were high rates of tariff on goods in the late 1980s. Economic growth was slow. The growth rate prior to reforms—so-called Hindu rate of growth—was just 3 to 4 percent overall and much slower on a per capita basis.

The reform of this system initiated in 1991 marked a more transparent and less complex system, with reduced controls and established less ad-hoc policy framework, as India moved towards more open markets. External sector reforms since 1991 amongst others showed significant reductions in tariff rates and their dispersion.

India began to make changes in its economic policy from July, 1991. The SEZ Act was enacted in 2005 to re-vitalise export production. Compared to goods, services trade policy issues and related disciplines have been considered much later in time. While the trade policy covers both imports and exports, its primary objective is to facilitate trade by reducing transaction cost and time, thereby making Indian exports more globally competitive.

Earlier trade policies were for three years. However, the government for the first time introduced 5-year Export-Import Policy (EXIM) on April 1, 1992 to dismantle various protectionist and regulatory policies and to accelerate India's transition towards a globally oriented economy. It is updated every year on March 31, and the changes come into effect from April 1.

The foreign trade policy of 2015-20 made number of important changes. MEIS and there is no conditionality attached to scrip's issued under the MEIS. For grant of rewards under MEIS, the countries have been categorized into 3 Groups, whereas the rates of rewards under MEIS range from 2 percent to 5 percent. Served from India Scheme has been replaced with the Service Exports from India Scheme (SEIS). SEIS rewards to all service providers of notified services, who are providing services from India, regardless of the constitution or profile of the service provider. No conditionality attached to any scrip's issued under these schemes. Under SEIS the selected services would be rewarded at the rates of 3 and 5 percent.

India has recently concluded two free trade agreements with UAE and Australia. The real challenge in India, as in several other countries, is the lack of appreciation of the benefits of trade liberalization. This is mainly because of absence of political will. The new policy is eagerly awaited as the economy continues to reel from the effects of the pandemic and disruptions to international trade caused by Russia's invasion of Ukraine worldwide.

18.8 KEY WORDS

Autarky

An economic system of self-sufficiency and limited trade. A country is said to be in a complete state of autarky if it has a closed economy, which means that it does not engage in international trade with any other country.

Duty credit scrip's

are paper authorisations that allow the holder to import inputs which are used to manufacture products that are exported, or to manufacture machinery used for producing such goods, without paying duty equivalent to the printed value of the scrip.

Export Houses

Export house status holders are Indian businesses that have excelled in international trade and made a significant contribution to the country's foreign exchange earnings.

Production-linked incentive schemes

offers a production linked incentive to boost domestic manufacturing and attract large investments in the sector. The scheme would tremendously boost the manufacturing landscape and establish India at the global level.

Status Holders

Business leaders who have excelled in international trade and have successfully contributed to India's foreign trade are proposed to be recognized as Status Holders and given special privileges to facilitate their trade transactions, in order to reduce their transaction costs and time.

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18.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

- 1) See section 18.2
- 2) See Section 18.2
- 3) See Section 18.3
- 4) See Section 18.3

Check your progress 2

- 1) See Section 18.4
- 2) See Section 18.4
- 3) See Section 18.4.1
- 4) See Section 18.4.2

Check your progress 3

- 1) See Section 18.5
- 2) See Section 18.5.2
- 3) See Section 18.5.2
- 4) See Section 18.5.1
- 5) See Section 18.5.3



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UNIT 19 INDIA'S TRADE: TRENDS, COMPOSITION AND CHALLENGES *

Structure

- 19.0 Objective
- 19.1 Introduction
- 19.2 Pattern of India's Foreign Trade after Independence
- 19.3 Direction of India's Foreign Trade:
- 19.4 Composition of India's Foreign Trade:
- 19.5 Challenges faced by Foreign Trade of India
- 19.6 Lets Us Sum Up
- 19.7 Key words
- 19.8 Some Useful Readings
- 19.9 Answers/Hints to check your progress exercises

19.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain Pattern, Direction of India's Foreign Trade;
- explain composition of India's Foreign trade; and
- critically examine the challenges faced by Indian Foreign Trade.

19.1 INTRODUCTION

Foreign Trade plays a significant role in the development process of Indian Economy. Direction and composition and volume of Indian foreign trade have increased during post-independence period. However, the growth in foreign trade, cannot be said reasonable during initial period of planning because Indian share in total world trade has persisted remarkably low and it declined over the years. India's foreign Trade before independence was typically colonial and India use to export foodstuffs and raw material to the industrialised nations particularly to England and use to import manufactured goods. This dependency on imported manufactured goods did not permit industrialization in India and manufacturing exports from India declined at the time of British rule. After 1947, the colonial pattern of trade transformed to suit the requirements of a developing economy

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and India used to imports important machinery to create new capacity in some lines of production and to improve the overall production capacity of existing Indian manufacturing firms. These imports of machinery were called as developmental imports. Similarly, India used to import raw materials and intermediate goods to enhance process of industrialisation which is known as maintenance imports. The main objective of these two kinds of imports was to enhance domestic production within the Indian market. India also used to import consumer goods which was scarce in Indian market to control inflation rate in Indian economy. Therefor India's imports increased at a very fast rate after impendence and India's overall trade balance went into negative.

Since liberalisation of Indian Economy from 1991, its foreign trade has been increased multifold and there are significant structural shifts in commodities as well as geographical composition. Significant decline in quantitative restrictions and tariff levels across product lines improved India's foreign trade in the first two decades of post liberalisation. Though the size and composition of India's foreign trade improved during post-independence era, this increase in foreign trade is not satisfactory because India's share in total foreign trade of the world has remained remarkably low. Table 19.1 shows India's share in world exports from 1980 to 2020. The data reveals that in 1980, the India's share in the total world trade was 0.4 % which increased to 1.6% in 2020.

Table 19.1: India's share in World Exports

Year	India's share in World exports (in %)
1980	0.4
1985	0.5
1990	0.5
2000	0.7
2005	1.0
2010	1.5
2014	1.7
2015	1.6
2019	1.7
2020	1.6

Source: Economic Survey 2023

Over the years, India's trade links with many regions of the world has increased. Indian government has taken major initiatives to diversify its exports as also their destinations in its various foreign trade policies. India's foreign trade

performance and pattern after independence for different planning years are explained below.

19.2 PATTERN OF INDIA'S FOREIGN TRADE AFTER INDEPENDENCE

This section explicates the pattern of India's foreign Trade after independence from 1947 by dividing entire period into important seven phases. This section describes the changing composition of India's foreign Trade during various five-year plan.

1) Before five-year planning period – 1947 to 1950

India's foreign trade after independence up to the planning period demonstrated increase in imports over exports. The main reason for growth in India's import was due to shortage of food and basic raw material like jute and cotton due to partition between India and Pakistan. Secondly, restrained demand due to war because of various controls and restrictions and thirdly due to higher demand for imported machinery and equipment to meet the rising demand for hydro-electric power plants and other projects during 1947-1950.

2) 1951—1955 First Five Year Plan

The records of India's foreign trade during first five-year plan indicates that annual average value of imports was ₹730 cr. and export value was ₹ 622 cr. with the trade deficit of ₹ 108 cr. The main reason for increment in trade deficit was because of more focus on industrialisation which increased imports of capital goods from India. Exports from India in the first five plan was stagnant.

Table 19.2: Annual Average Trade Balance During various Five Year Plans

Year	Exports (f.o.b) ¹	Imports (c.i.f) ²	Balance of Trade
1950-1955	622	730	-108
1956-1960	613	1080	-467
1961-1965	747	1224	-477
1966-1968 (Annual Plan)	3708	5775	-2067
1969-1973	1810	1970	-162

¹f.o.b refers to FREE ON BOARD (named port of shipment)The seller must themselves load the goods on board the ship nominated by the buyer, cost and risk being divided at ship's rail. The seller must clear the goods for export. Maritime transport only but NOT for multimodal sea transport in containers.

² C.i.f. refers to COST INSURANCE AND FREIGHT (named port of destination);Seller must pay the costs and freight includes insurance to bring the goods to the port of destination. However, risk is transferred to the buyer once the goods are loaded on the ship.

1974-1978	4728	5538	-810
1979-80 (Annual Plan)	6418	9142	-2724
1980-1984	8967	14683	-5716
1985-1990	17382	25112	-7730

Source: Reserve Bank of India, Handbook on Statistics on Indian Economy

3) 1956-1960- Second Five Year Plan

Indian government initiated various strategies for upsurge in industrialisation within India in second five-year plan which augmented yet again India's import. During second year five-year plan, Indian government set up various new industries like steel plants also there was expansion of Indian railway track because of these initiatives India's average trade deficit increased to ₹ - 467 cr. in second five-year plan. Foreign exchange crisis was serious issues during second five-year plan.

4) 1961-1965- Third Five Year Plan

Annual Average Trade deficit during five-year plan was ₹-477cr. Total average exports from India was ₹ 613 cr. and average value of import was ₹1080 cr. The main reasons for increment of import in third five year plan was there was increment in defence expenditure due to fear of war and violent behaviour created by Pakistan and China, Secondly there was increment in imports of machinery, equipment, industrial raw material and technology know-how, and finally there was large number of import of food grains as it was easily available in the global market and there was extensive failure of crops in 1965-66 in India.

5) 1966 – 1973 Three Annual Plans and Fourth Five Year Plan

Adverse trade deficit before fourth five-year plan induces shortage of foreign exchange in India. Therefore, Indian government extensively borrowed money from international institutions like IMF and World Bank to solve the problem of balance of payment. These increment in foreign borrowing and trade deficit prompted devaluation of Indian rupee by 36.5 % in June 1996. The main impact of devaluation of rupees was it increased the volume of exports and decreased the volume of imports and created favourable balance of trade and balance of payment. But these policy measure in India announced at the time of bad monsoon which is also followed by another drought in next year. Thus, overall impact of this policy was minimal. Although there was increment in the India's export in 1966-1967 but comparatively import from India increased more in that particular period. Thus, the overall average trade deficit was -689 during 1966-1968. After 1969 there was increment in exports and imports was declined due to import restriction. Government of India introduce various export promotion scheme after 1968 which created positive impact on India's trade balance. Therefore,

there was positive balance of trade for the first time after independence in the year 1972 with the ₹+104 cr. of overall balance of trade. But this positive impact soon lost in 1973 due to increment in the prices of petroleum products, steel and non-ferrous metals, fertilizers and newsprint. Thus, the overall average balance of trade during fourth five-year plan was ₹162 cr. Overall the impact of Fourth five year plan positive compare to another five year and annual plan within India.

6) 1974- 1979 Fifth Five Year Plan:

Pattern of world trade seriously affected after Oil crisis which was started in global economy after October 1973 and India was no exception for the same. The value of imports during fifth five-year plan reached to very high levels due to increment in the price of petroleum product and fertilisers and food grains. Overall average value of import in India increased to ₹ 5538 cr. compared to ₹ 1810 cr. during fourth five-year plan. During the fifth five-year plan value of export also increased due to increase in the export of cotton fabrics and readymade garments, handicrafts, fish, coffee, tea and ground nuts.

7) 1979-1984 Sixth five-year plan:

There was significant increment in prices of petroleum products in the world market which increased import bill of India in the first two year of sixth five-year plan. There was decline in petroleum import after 1980-81 due to downward international prices of crude oil and domestic production of crude oil increased due to new exploration activities undertaken by ONGC. But non-petroleum imports from India increased in the same period and overall average trade balance was highest in the sixth five-year plan. Overall average value of export was ₹ 8967 cr and average import value was ₹ 14,683 cr. with the trade deficit of ₹ 5716 cr. during sixth five year plan.

8) 1985-1990 Seventh Five year plan :

Policies of indiscriminate liberalisation undertaken by congress government and later recognized by Janta Dal government increased India's average import value to ₹ 25,112 during seventh five-year plan but the exports averaged at ₹ 17,382 crores. Thus, the first-time record annual average trade deficit of ₹ 7730 crores arisen during seventh five-year plan. This high trade deficit in trade balance forced Indian government to take loan from World Bank and IMF of over \$ 6.7 billion. This deficit also forced government of India to apply brakes on the licensing policy of import licences.

9) India's Foreign Trade after 1991 :

Since 1991, the government of India adopted the policy of economic liberalisation, privatization and globalization to increase international trade of India. Devaluation of Indian rupee in 1991 and the convertibility of Indian

rupee in trade account during 1993-94 and 1994-95 respectively improved the balance of trade position in 1993-94 with value of -33.50 ₹ billion. But the trade deficit again increased during the subsequent years which is explained by below table. Table 19.3 indicates the Export, Import and Trade balance of India after 1991 to 2016-17.

Table 19.3: India's Foreign Trade – After 1991

INDIA'S FOREIGN TRADE – AFTER 1991			
(₹ Billion)			
Year	Exports	Imports	Trade Balance
1991-92	440.42	478.51	-38.09
1992-93	536.88	633.75	-96.86
1993-94	697.51	731.01	-33.50
1994-95	826.74	899.71	-72.97
1995-96	1063.53	1226.78	-163.25
1996-97	1188.17	1389.20	-201.03
1997-98	1301.01	1541.76	-240.76
1998-99	1397.53	1783.32	-385.79
1999-00	1595.61	2152.37	-556.75
2000-01	2035.71	2308.73	-273.02
2001-02	2090.18	2452.00	-361.82
2002-03	2551.37	2972.06	-420.69
2003-04	2933.67	3591.08	-657.41
2004-05	3753.40	5010.65	-1257.25
2005-06	4564.18	6604.09	-2039.91
2006-07	5717.79	8405.06	-2687.27
2007-08	6558.64	10123.12	-3564.48
2008-09	8407.55	13744.36	-5336.80
2009-10	8455.34	13637.36	-5182.02
2010-11	11429.22	16834.67	-5405.45
2011-12	14659.59	23454.63	-8795.04
2012-13	16343.18	26691.62	-10348.44
2013-14	19050.11	27154.34	-8104.23

2014-15	18964.45	27370.87	-8406.41
2015-16	17163.78	24902.98	-7739.20
2016-17	18540.96	25668.20	-7127.24
2017-18	303526.2	465581.0	-162054.8
2018-19	330078.1	514078.4	-184000.3
2019-20	313361.0	474709.3	-161348.2
2020-21	291808.5	394435.9	-102627.4
2021-22	422004.4	613052.1	-191047.7

Source: Reserve Bank of India, Handbook of Statistics on Indian Economy.

Table 19.3 illustrates that the overall gap between export and import has increased and that leads to widening trade deficit of India. Trade deficit of India widens to -10348.44 ₹ Billion in 2012-13 According to Ministry of Commerce, this trade deficit widens largely due to lower demand in the United States and European markets created by global financial crisis in these two major trade partners of India. After 2012-13 Indian's trade balance improved as country's exports have crossed to 19050.11 ₹ Billion in 2013-14 while import of the country in the same financial year was 27154.34 ₹ Billion. In 2015-16 and 2016-17, India's trade balance further declined due to decrease in India's import India's trade deficit further decreased to 191047.7 in 2021-22. From 2015-16 to 2021-22 India's import increased from 24902.98 ₹ Billion to 613052.1 ₹ Billion. According to trading economies dataset, India's trade balance reflects sustained trade deficits since 1980 mostly due to the robust imports' growth, particularly of mineral fuels, oils and waxes and bituminous substances and pearls, precious and semi-precious stones and jewellery. In recent years, the largest trade deficits were documented with China, Switzerland, Saudi Arabia, Iraq and Indonesia. India records trade surpluses with the US, United Arab Emirates, Hong Kong, United Kingdom and Vietnam.

19.3 DIRECTION OF INDIA'S FOREIGN TRADE

The below table no 4 shows India direction of foreign trade from 2017-2018 to 2021-2022. The data reveals the major sources of Indian import and major destinations of Indian exports are across the globe. It is evident from the data that both export import values has increased continuously from the all the country groups. There has been significant market diversification in India's trade. Region-wise, while India's exports to Europe and America declined, its exports to Asia and Africa have increased. The data show major sources of Indian exports are OPEC countries followed by European Union. Petroleum products which are sourced from OPEC countries are the primary reason for this group to be among the top in the list. In India, we import the raw petroleum products and because of low labour cost these raw petroleum products are processed in India and again exported back to another destination. Therefore, India's trade basket

contains petroleum products on both import and export on the top. Developing countries have also emerged as major trading partner of India in the recent time. Asian countries like China, Taiwan, and Hong Kong are the major contributors in the Developing country group.

Table 19.4: Direction of India's Foreign Trade

Group/Country	2017-18		2018-19		2019-20		2020-21		2021-22	
	Export	Import	Export	Import	Export	Import	Export	Import	Export	Import
1	2	3	4	5	6	7	8	9	10	11
I. O E C D Countries	119622.4	126728.5	128175.0	144875.7	124021.6	133850.5	118613.9	116178.2	180759.5	163888.3
A. European Union	53603.8	47880.8	57203.1	58433.8	53738.9	51764.3	41370.8	39722.4	64975.3	51411.5
Of which:										
1. Belgium	6206.9	5993.4	6729.9	10469.2	5809.9	8879.5	5235.6	6940.7	10084.4	9951.7
2. France	4900.3	6524.2	5232.6	6665.7	5097.8	6168.8	4782.2	4343.2	6640.9	5782.1
3. Germany	8687.8	13295.7	8902.4	15161.1	8290.9	13691.1	8124.9	13643.0	9883.3	14968.1
4. Italy	5709.9	4706.9	5593.4	5292.4	4970.8	4490.9	4735.7	3862.1	8180.8	5048.5
5. Netherlands	6261.1	2512.6	8812.8	4062.8	8366.1	3391.0	6472.8	3317.7	12543.7	4478.1
B. North America	50384.6	31339.5	55257.7	39064.9	55940.6	39700.2	54583.9	31574.5	79931.0	46446.8
1. Canada	2506.2	4728.5	2851.4	3515.4	2851.8	3880.3	2960.8	2686.4	3764.0	3132.8
2. U S A	47878.5	26611.0	52406.3	35549.5	53088.8	35819.9	51623.1	28888.1	76167.0	43314.1
C. Asia and Oceania	9099.4	25610.8	8762.0	26534.7	7751.0	22738.7	8964.7	19553.6	14947.5	31530.8
Of which:										
1. Australia	4012.3	13993.7	3520.4	13131.2	2852.1	9782.2	4043.9	8247.3	8283.1	16756.2
2. Japan	4734.2	10973.4	4861.7	12772.7	4520.3	12434.7	4434.6	10924.7	6176.8	14399.8
D. Other O E C D Countries	6534.5	21897.3	6952.2	20842.3	6591.2	19647.2	13694.5	25327.7	20905.7	34499.2
Of which:										
1. Switzerland	1083.8	18923.0	1186.7	18087.6	1200.1	16899.9	1261.5	18231.0	1348.6	23392.3
2. U.K.	9691.1	4806.8	9309.3	7561.9	8737.9	6712.6	8157.6	4955.8	10461.3	7017.8
II. O P E C	44303.0	109358.2	48780.5	136548.7	48180.3	123832.4	33057.0	79651.6	50435.6	151000.9
Of which:										
1. Iran	2652.4	11111.5	3511.0	13525.6	3373.6	1397.3	1774.7	331.5	1451.1	463.4
2. Iraq	1462.2	17615.8	1788.7	22372.5	1878.2	23740.2	1499.0	14287.1	2403.3	31927.1
3. Kuwait	1365.7	7165.7	1333.9	7430.8	1286.6	9573.8	1054.2	5214.1	1241.9	11001.8
4. Saudi Arabia	5410.7	22070.0	5561.7	28479.2	6236.9	26857.4	5856.6	16186.8	8758.9	34100.6
5. U A E	28146.1	21739.1	30126.7	29785.3	28853.6	30256.6	16679.5	26623.0	28044.9	44833.5
III. Eastern Europe	3036.7	12914.5	3504.0	9465.6	4235.9	11964.0	4105.6	9161.4	4763.5	14051.5
Of which:										
1. Russia	2113.4	8573.5	2389.5	5840.4	3017.7	7093.0	2655.5	5485.7	3254.7	9870.0

IV. Developing Countries	133905.1	207286.8	146523.5	223040.7	134160.2	204837.8	135102.3	189365.8	184523.3	

A. Asia	100021.7	165945.0	108513.8	179905.5	95976.2	168033.1	98701.2	154908.3	130845.6	224151.1
a). S A A R C	23100.9	3202.7	25348.8	4363.0	21941.4	3835.6	22077.8	3377.1	34228.8	5486.4
1. Afghanistan	709.7	433.8	715.4	435.4	997.6	529.8	825.8	509.5	554.5	510.9
2. Bangladesh	8614.3	685.6	9210.1	1044.8	8200.7	1264.7	9691.6	1091.7	16156.4	1977.9
3. Bhutan	546.1	378.0	657.3	371.0	738.6	405.7	701.0	433.0	885.8	545.0
4. Maldives	217.0	5.7	223.0	20.4	226.6	6.0	195.9	24.5	670.4	68.9
5. Nepal	6613.0	438.4	7766.2	508.1	7160.3	711.6	6838.5	673.2	9645.7	1371.0
6. Pakistan	1924.3	488.6	2066.6	494.9	816.6	14.0	326.9	2.4	513.8	2.5
7. Sri Lanka	4476.5	772.6	4710.2	1488.4	3800.9	903.7	3498.2	642.9	5802.2	1010.0
b). Other Asian Developing Countries	76920.8	162742.3	83165.0	175542.5	74034.8	164197.5	76623.4	151531.2	96614.8	218664.7
Of which:										
1. People's Republic of China	13333.5	76380.7	16752.2	70319.6	16612.8	65260.7	21187.2	65212.3	21259.8	94570.6
2. Hong Kong	14690.3	10676.0	13002.0	17987.0	10967.1	16935.3	10162.4	15172.8	10984.8	19096.6
3. South Korea	4461.0	16361.8	4705.1	16759.0	4845.1	15659.7	4684.6	12773.0	8085.0	17477.2
4. Malaysia	5701.6	9011.6	6436.3	10818.6	6364.7	9782.3	6057.7	8373.1	6995.0	12424.2
5. Singapore	10202.8	7467.0	11572.3	16281.6	8922.7	14746.8	8675.5	13304.9	11150.6	18962.2
6. Thailand	3653.8	7134.5	4441.4	7441.8	4299.3	6788.4	4237.6	5682.3	5751.3	9332.6
7. Indonesia	3963.8	16438.8	5275.6	15849.7	4129.3	15061.9	5026.2	12470.2	8471.5	17702.8
B. Africa	21472.5	22673.0	24166.8	24449.4	24320.5	21797.8	23613.1	20149.3	34186.6	34941.9
Of which:										
1. Benin	479.7	223.0	426.9	375.8	326.6	358.9	555.2	326.0	716.4	402.1
2. Egypt Arab Republic	2392.3	1292.9	2886.4	1677.8	2504.2	2031.4	2264.4	1892.4	3743.9	3520.8
3. Kenya	1974.6	72.6	2071.8	137.1	2108.6	89.6	1895.8	130.3	2631.9	145.4
4. South Africa	3825.2	6834.7	4067.2	6517.3	4108.2	6969.8	3934.2	7568.2	6085.3	10965.8
5. Sudan	822.7	452.1	920.9	742.6	1096.9	396.8	1022.3	368.3	1077.2	129.2
6. Tanzania	1618.8	1029.7	1704.0	903.5	1740.1	1023.5	1439.1	934.9	2300.9	2279.2
7. Zambia	294.3	1095.0	319.1	510.5	247.6	843.3	268.9	126.5	341.0	118.2
C. Latin American Countries	12411.0	18668.9	13842.9	18685.8	13863.5	15006.9	12788.0	14308.2	19492.9	24941.2
V. Others	229.3	98.3	186.4	56.9	215.0	100.3	194.4	22.3	221.1	31.0
VI. Unspecified	2429.7	9194.6	2907.2	89.7	2547.0	123.5	733.3	56.4	1299.6	45.9
Total	303526.2	465581.0	330078.1	514078.4	313361.0	474709.3	291808.5	394435.9	422004.4	613052.0
Notes: 1. Data for 2020-21 are revised and for 2021-22 are provisional.										
2. Data for European Union excludes UK from 2020-21 onwards.										
Source : Directorate General of Commercial Intelligence and statistics.										

Source: Reserve Bank of India, Handbook on Statistics on Indian Economy.

19.4 COMPOSITION OF INDIA'S FOREIGN TRADE

International trade of India has witnessed a number of structural changes after independence under different planning period. The percentage share of non-traditional goods in total exports has constantly improved. Export basket of India

have shown a high growth rate of chemical and engineering goods. During past few years, handicrafts goods including gems and jewellery have become one the important commodities in India's export basket. Currently, India is also making exports of few traditional goods including tea, coffee, rice, pulses, spices, tobacco, jute, iron ore etc.

Table 19.5: India's Exports of Principle Commodities (US Dollar Million)

(US \$ Million)

Commodity / Year	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
1	2	3	4	5	6	7
1. Tea	731.3	837.4	830.9	826.5	756.3	751.1
2. Coffee	842.8	968.6	822.3	738.9	719.7	1020.7
3. Rice	5733.8	7806.2	7750.6	6403.2	8829.2	9671.1
4. Other cereals	212.3	248.6	349.0	205.2	705.4	1087.4
5. Tobacco	958.7	934.3	981.3	905.1	876.7	923.6
6. Spices	2851.9	3115.4	3322.4	3621.4	3984.0	3896.0
7. Cashew	786.9	922.4	654.4	566.8	420.4	453.1
8. Oil Meals	805.4	1093.2	1508.6	827.9	1585.0	1031.9
9. Oil seeds	1355.2	1174.3	1156.8	1318.1	1235.7	1113.6
10. Fruits & Vegetables	2454.7	2513.3	2540.9	2380.5	2612.8	2883.1
11. Cereal preparations & miscellaneous processed items	1270.8	1416.6	1555.4	1527.0	1859.9	2280.7
12. Marine Products	5903.1	7389.2	6802.6	6722.1	5962.4	7772.4
13. Meat, dairy & poultry products	4368.8	4610.1	4363.7	3714.3	3658.0	4141.0
14. Iron Ore	1533.5	1471.1	1317.3	2625.0	4896.5	3248.2
15. Mica, Coal & Other Ores, Minerals including processed minerals	3578.2	3776.9	4254.7	3948.4	4331.8	5217.2
16. Leather & leather products	5165.6	5289.1	5140.8	4658.5	3301.4	4381.5
17. Ceramic products & glassware	1856.6	2131.8	2649.2	2870.6	3050.6	3464.8
18. Gems & Jewellery	43412.8	41544.4	40251.0	35898.5	26022.8	39099.1
19. Drugs & Pharmaceuticals	16785.0	17282.8	19146.6	20703.5	24444.0	24594.3
20. Organic & Inorganic Chemicals	12336.1	18508.5	22379.3	22082.8	22088.5	29364.8
21. Engineering Goods	67216.1	78695.7	83621.6	78704.4	76719.6	112163.4
22. Electronic Goods	5962.9	6393.1	8829.4	11700.6	11093.3	15660.4
23. Cotton Yarn/Fabs./made-ups, Handloom Products etc.	9862.2	10260.4	11215.1	10027.7	9827.9	15298.0
24. Man-made Yarn/Fabs./made-ups etc.	4557.1	4826.3	4980.5	4821.4	3806.3	5614.6
25. RMG of all Textiles	17368.2	16706.9	16138.3	15488.1	12272.2	16014.8
26. Jute Mfg. including Floor Covering	309.9	335.1	324.9	342.6	371.3	507.6
27. Carpet	1490.2	1429.8	1481.9	1373.3	1491.4	1789.9
28. Handicrafts excl. hand made carpet	1926.7	1823.3	1838.1	1797.9	1707.5	2088.2
29. Petroleum Products	31545.3	37465.1	46553.6	41288.7	25804.4	67471.7
30. Plastic & Linoleum	5796.5	6851.1	8607.5	7551.6	7462.9	9824.6
31. Other Commodities	16873.7	15705.2	18709.2	17720.6	19910.8	29175.6
Total Exports	275852.4	303526.1	330078.2	313361.0	291808.5	422004.4

Note : Data for 2021-22 are provisional and data for 2020-21 are revised.

Source : Directorate General of Commercial Intelligence and Statistics in 'Handbook of Statistics', RBI

Exports of India's principal commodities are presented in the table for the time period 2012-2013 to 2016-2017. Data reveals a diverse group of goods and services are exported from India. Engineering Goods, Petroleum Products, Gems

& Jewellery, Drugs & Pharmaceuticals, Tea and Rice are some of the highest exported goods from India.

**India's Trade:
Trends, Composition
and Challenges**

Table 19.6: Imports of Principle Commodities (US Dollar Million)

Commodity / Year	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
1	2	3	4	5	6	7
1. Cotton Raw & Waste	946.9	979.3	633.1	1328.4	385.9	559.6
2. Vegetable Oil	10892.7	11637.5	9890.3	9672.9	11089.1	18991.6
3. Pulses	4244.1	2908.3	1140.8	1440.1	1611.7	2229.0
4. Fruits & vegetables	1783.4	2092.6	2143.9	2221.3	2273.4	2640.7
5. Pulp and Waste paper	975.1	1154.6	1311.7	1143.0	851.1	1600.5
6. Textile yarn Fabric, made-up articles	1502.5	1837.3	1900.0	1922.3	1501.5	2065.5
7. Fertilisers, Crude & manufactured	5024.0	5376.3	7467.4	7468.1	7597.3	14169.9
8. Sulphur & Unroasted Iron Pyrites	131.2	165.9	217.1	117.7	149.7	475.0
9. Metallic ferrous ores & other minerals	6194.2	9096.9	7583.3	5088.9	4626.1	8950.5
10. Coal, Coke & Briquettes, etc.	15759.9	22901.2	26177.8	22455.1	16274.5	31718.3
11. Petroleum, Crude & products	86963.8	108658.7	140920.6	130550.3	82683.9	161810.5
12. Wood & Wood products	4891.8	6027.3	6126.5	5612.2	4449.7	6136.4
13. Leather & leather products	935.3	1009.2	1057.7	1014.1	579.8	818.8
14. Organic & Inorganic Chemicals	16598.4	20631.5	23827.7	20617.1	19825.3	30291.9
15. Dyeing/tanning/colouring materials.	2282.7	2887.5	3221.9	2906.4	2734.0	3960.2
16. Artificial resins, plastic materials, etc.	11964.0	14487.7	15682.0	14633.7	13510.0	20230.6
17. Chemical material & products	5375.1	6663.4	7707.6	7643.2	8441.2	11148.0
18. Newsprint	849.9	776.7	977.7	700.6	294.1	344.7
19. Pearls, precious & Semi-precious stones	23808.6	34278.9	27075.7	22458.8	18888.0	31007.9
20. Iron & Steel	11683.0	14617.6	17656.7	15369.4	12035.9	17303.0
21. Non-ferrous metals	9868.8	12811.7	14733.0	13138.7	11716.6	17601.7
22. Machine tools	3034.6	3519.6	4642.5	4193.1	3169.6	4239.5
23. Machinery, electrical & non-electrical	28445.8	32908.9	37852.4	37691.9	30084.5	39942.5
24. Transport equipment	22687.7	22732.5	24775.8	25284.7	18649.2	20852.4
25. Project goods	2074.4	2077.6	2375.6	2025.5	1498.9	1356.0
26. Professional instrument, Optical goods, etc.	3857.2	4754.6	5187.4	5024.1	4528.2	6372.8
27. Electronic goods	41930.4	52890.7	57377.3	54397.9	54287.9	73674.2
28. Medcnl. & Pharmaceutical products	4995.0	5480.7	6359.5	6459.9	6974.6	9072.0
29. Gold	27518.0	33657.2	32910.1	28229.7	34603.9	46165.6
30. Silver	1839.2	3213.8	3748.2	2727.8	790.4	3276.2
31. Other Commodities	25299.2	23345.4	21397.4	21172.4	18329.6	24046.7
Total Imports	384357.0	465581.0	514078.4	474709.3	394435.9	613052.1

Note: Data for 2021-22 are provisional and data for 2020-21 are revised.

Source : Directorate General of Commercial Intelligence and Statistics in 'Handbook of Statistics, RBI'

Source: Directorate General of Commercial Intelligence and Statistics.

Major items of India's Imports during the last five years are presented in the Table 19.6. Data shows that Petroleum, Crude & products, Electronic goods,

Machinery, electrical & non-electrical, pulses and Gold are some of the top imported items of India. Besides, the imports of petroleum products, capital goods, carbon chemical and compounds, medical and pharmaceutical products are also imported in Indian Economy. India's international trade involved lot of intra- industry trade of different products like India imports pearls, gems and stone on large scale but after their processing these are exported back to another location from the country.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Comment upon the trends of India's share in world trade from 2016-2021-22.

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- 2) Which commodities have been the first five principal commodities in Indian imports in the year 2020-21?

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19.5 CHALLENGES FACED BY FOREIGN TRADE OF INDIA

The Indian government is keen to stimulate foreign trade of India in recent years. Indian government has come up with numerous reforms and schemes to support foreign trade of India. Despite of these efforts, India faces significant challenges and rejections in its foreign trade from the world market. One of the important challenge and concern is India's share in the global market is only 1.94% in 2016 which is significantly low. Currently, Increment in tariff and non-tariff barriers, the global economic slowdown, increasing protectionism, the stalled Free-trade and multilateral agreements e.g., Free trade agreement with European Union is still not finalized and unfavourable foreign trade policies are major obstacles for External Sector of India. Manufacturing sector in India is failed to develop and India relay mostly on services trade which is volatile in nature. Thus, manufacturing sector in India must prepare for opportunities and greater engagement in an evolving multilateral trade arena. India's main concern is most of the traders are not able to meet global standards developed by World Trade Organization (WTO). In recent years, India has observed a growing trend

different tariff and non-tariff barriers imposed by India's trading partners to protect, favour, or stimulate domestic industries, service providers, or intellectual property at the expense of imported goods, services or foreign-owned or developed intellectual property. These barriers are also levied to protect health of domestic consumer and animal. These measures may operate as disguised barriers to trade and unreasonably differentiate between domestic and foreign products, services, intellectual property, or suppliers. These barriers are distorting foreign trade of India. A detailed assessment of the Enabling Trade Index (ETI) advocates that India imposes a significant import duty which is affecting India's International trade with the rest of the world. To some extent, it also deprives India of her foreign market access for exports.

- 1) *Tariff and non-tariff barriers*: Currently, India is facing significant amount of tariff and non-tariff barriers in its International Trade which restrict free flow of goods and services between countries. Trade barriers can either be tariff barriers which includes increase in import duties accordance with Article II of the GATT or non-tariff barriers, which are any trade barriers other than tariff barriers like, import licensing, Standards, testing, labelling & certification, Anti-dumping and countervailing measures, Export subsidies and domestic support. Taking the help of non-tariff barriers most of the countries are putting restrictions on India's Goods in their country.
- 2) *Global Crisis* – The global market faced recession in 2008 and in the first half of 2009 due to sub-prime crisis of USA in September 2007 and followed by EU crisis in 2009. Global crisis affected negatively on the demand for several Indian goods like Gems and Jewellery, Readymade Garments, Handicrafts and other. During these crisis exporters got lower demand and lower prices for Indian Commodities which affect negatively on the balance sheet of exporters.
- 3) *Decrease in Export Incentives* – Currently, Indian Government has reduced export incentives such as reduction in DBK rates, withdrawal of income tax benefits for majority of exporters etc. These reduction in the export incentives decrease the exports from India as competitiveness of Indian product decrease in the world market due to increment in their prices.
- 4) *Product Standards requirement*: In recent years, developed countries imposes higher product standards for developing countries like India. India and other developing countries need to undertake various laboratory tests addressed by importing countries. This increases the cost of product from India in International market and leads to decrease in export from India.
- 5) *Anti-Dumping duties*: Recent years, there is increment in anti-dumping measured imposed by developed countries to Indian products. E.g, The USA has decided to impose anti-dumping duty on stainless steel flanges

imported from India and China after it found in its preliminary probe that both the countries provided subsidies to the exporters³. Most of the time anti-dumping measures are justified. Therefore, India has to approach the dispute settlement body of WTO to resolve the dispute regarding anti-dumping duties imposed by USA. Till the dispute is resolved, Indian exporters lose business opportunities from USA market. These anti-dumping duties affect negatively on exports from India.

- 6) *Subsidies* – Developed country like EU and USA provide large subsidies to their producers. For instance, USA is giving subsidies to fertilizers and exporters, which decreases the cost of product in the international market supplied by USA. Therefore, exporters from India and other developing countries face competition in the world markets.
- 7) *Problems of Sea Pirates attack* – There is a major risk of pirate's attacks in the Gulf of Aden. Currently, India's most of the merchandise trade passes through this area. These increase the risk of Indian exporters.
- 8) *Large number of export documentation* – There are large number of documents are required for exporting goods from India. In India, every exporters are supposed to fill 25 documents averagely while exporting goods from India. Currently government is undertaking single window clearances for all these documents but still most of the small exporters are going for old way of documentation. Large number of export documentation act as barriers to trade from India.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Give a brief of India's recent initiatives as part of its trade policy.

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- 2) Briefly discuss any two challenges faced by India's foreign trade.

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³ http://www.business-standard.com/article/economy-policy/us-slaps-anti-dumping-duty-on-steel-wire-imported-from-india-china-118032100368_1.html

19.6 LET US SUM UP

The unit discussed trade pattern, composition and challenges of India's foreign trade. This unit start with pattern of India's foreign trade after independence and explained the changing pattern of India's foreign Trade during various five year plan. Further, this unit discussed about direction and compositions of India's foreign trade in which it analysed India's trade with different countries with major commodities. Finally, this unit discussed major challenges and problems faced by India in its international trade.

19.7 KEY WORDS

Anti-Dumping

An anti-dumping duty is a protectionist tariff that a domestic government imposes on foreign imports that it believes are priced below fair market value

GATT

General Agreement on Tariffs and Trade (GATT) was a legal agreement between many countries, whose overall purpose was to promote international trade by reducing or eliminating trade barriers such as tariffs or quotas.

Tariff and Non-Tariff barriers

Tariff barriers refers to increase in import duties accordance with Article II of the GATT. Non-tariff barriers refers to any trade barriers other than tariff barriers like, Import licensing, Standards, testing, labelling & certification, Anti-dumping and countervailing measures, Export subsidies and domestic support.

SPS and TBT

SPS and TBT agreement are a category of nontariff barriers to trade. SPS stands for sanitary and phytosanitary measures under this agreement governments can apply food safety and animal and plant health measures to protect their economy under WTO. TBT stands for Technical barriers to trade. TBT use the measures such as labelling requirements, standards on technical specifications and quality standards, and other measures protecting the environment under International Trade

WTO

The World Trade Organization (WTO) is an intergovernmental organization that regulates international trade. The WTO officially commenced on 1 January 1995 under the Marrakesh Agreement, signed by 123 nations on 15 April 1994, replacing the General Agreement on Tariffs and Trade (GATT), which commenced in 1948. It is the largest international economic organization in the world.

19.8 SOME USEFUL REFERENCES

Datt and Sundaram, '*Indian Economy*', 72th edition, S. Chand and Sons, New Delhi.

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Reserve Bank of India, *Handbook on Statistics on Indian Economy*

Important links for Foreign Trade Database –

<https://www.trademap.org/Index.aspx?AspxAutoDetectCookieSupport=1>

<https://wits.worldbank.org/>

<http://www.commerce.gov.in/InnerContent.aspx?Type=TradeStatisticsmenu&Id=254>

<http://commerce-app.gov.in/eidb/default.asp>

https://www.fieo.org/view_section.php?lang=0&id=0,30,155

19.9 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Refer Section 19.1
- 2) Refer Section 19.4

Check Your Progress 2

- 1) Refer section 19.5
- 2) Refer section 19.6